



MARKET MONITOR

Contents

World supply-demand outlook.....	1
Crop monitor.....	3
Policy developments.....	6
International prices.....	7
Futures markets.....	9
Market indicators.....	10
Monthly US ethanol update.....	12
Fertilizer outlook.....	13
Explanatory Notes	14

No.35 – February 2016

Roundup

Abundant supply weighed on international prices with the appreciation of the US dollar and falling oil prices also contributing to negative sentiment across commodity markets. While early prospects for wheat and maize crops to be harvested in 2016 are less buoyant than last year, large stocks are likely to provide a significant cushion should production decline this year.

Markets at a glance

	From previous forecast	From previous season
Wheat	▲	▲
Maize	▼	▲
Rice	▲	▼
Soybeans	▼	▲

▲ Easing ■ Neutral ▼ Tightening

The **Market Monitor** is a product of the [Agricultural Market Information System \(AMIS\)](http://www.amis-outlook.org). It covers the international markets for wheat, maize, rice and soybeans, giving a synopsis of major market developments and the policy and other market drivers behind them. The analysis is a collective assessment of the market situation and outlook by the ten international organizations that form the AMIS Secretariat.



Food and Agriculture
Organization of
the United Nations



IFAD
Enabling poor rural people
to overcome poverty



WORLD TRADE
ORGANIZATION

World supply-demand outlook

in million tonnes

- **Wheat** production in 2015 upgraded by 2.3 million tonnes on larger than last anticipated harvests in Canada and Russia.

- Utilization in 2015/16 forecast higher, mostly on greater feed use in Russia and the Philippines, now suggesting a 2 percent increase from 2014/15.

- Trade in 2015/16 raised by 2 million tonnes but still remaining below the previous season's level, mainly because of smaller expected imports by Morocco, Iran and Turkey.

- Stocks (ending in 2016) lifted by 3.8 million tonnes on larger inventories in Argentina, China, Russia and Ukraine; now expected to reach their highest level in 13 years.

	FAO-AMIS			USDA		IGC	
	2014/15 est.	2015/16 f ^{cast} 03-Dec 04-Feb		2014/15 est	2015/16 f ^{cast} 12-Jan	2014/15 est.	2015/16 f ^{cast} 21-Jan
Production	733	735	737	726	735	725	731
Supply	922	938	943	920	948	913	932
Utilization	714	728	729	707	716	712	719
Trade	156	150	151	164	162	153	152
Stocks	206	207	211	213	232	201	213

- **Maize** production in 2015 raised by 2.6 million tonnes, on improved estimates for China and Canada more than offsetting downward adjustments in the EU, Ukraine and the US.

- Utilization to increase marginally in 2015/16, in spite of higher food and feed demand in several developing countries, dampened by a shift to feed wheat in Europe.

- Trade in 2015/16 increased slightly with import forecasts for Viet Nam and South Africa higher than anticipated earlier.

- Stocks (ending in 2016) cut by 5.7 million tonnes, following reduction in Brazil and revised (lower) historical carryovers in the EU (2004/05-20015/16).

	FAO-AMIS			USDA		IGC	
	2014/15 est.	2015/16 f ^{cast} 03-Dec 04-Feb		2014/15 est	2015/16 f ^{cast} 12-Jan	2014/15 est.	2015/16 f ^{cast} 21-Jan
Production	1032	1001	1004	1013	968	1013	959
Supply	1216	1227	1220	1183	1175	1192	1164
Utilization	998	1002	1001	976	966	988	968
Trade	129	128	128	138	117	125	125
Stocks	217	225	219	207	209	205	196

- **Rice** production in 2015 raised slightly, mainly on more optimistic forecasts for China and Senegal and despite lower crop estimates in Japan and Nepal.

- Utilization in 2015/16 lowered, with much of the revision concerning those countries in Asia that are likely to face a tightening of supplies.

- Trade in calendar 2016 upgraded on larger than last anticipated imports by Brazil, China, Indonesia and Guinea, and now approaching the 2014 record.

- Stocks (ending in 2016) revised up, mainly on account of China, the EU and several Western Africa countries.

	FAO-AMIS			USDA		IGC	
	2014/15 est.	2015/16 f ^{cast} 03-Dec 04-Feb		2014/15 est	2015/16 f ^{cast} 12-Jan	2014/15 est.	2015/16 f ^{cast} 21-Jan
Production	494	491	492	478	470	478	473
Supply	666	663	664	586	574	590	581
Utilization	493	499	498	482	484	483	486
Trade	44.8	45.0	45.4	43.0	42.2	41.9	41.6
Stocks	172	166	167	104	90	108	95

- **Soybean** 2015/16 production cut by 2 million tonnes on lower estimates for the US and adverse weather affecting harvest prospects in parts of Brazil.

- Global utilization raised marginally, implying a y/y expansion of 5.7 percent – a slowdown from last season.

- Trade forecast lifted on stronger import demand by China, the EU, Bangladesh and Iran, to be met by larger shipments from Brazil and Argentina.

- Stocks estimate (2015/16 carry-out) curtailed on lower forecasts for Argentina, the US and India but still set to exceed last season's record.

	FAO-AMIS			USDA		IGC	
	2014/15 est.	2015/16 f ^{cast} 03-Dec 04-Feb		2014/15 est	2015/16 f ^{cast} 12-Jan	2014/15 est.	2015/16 f ^{cast} 21-Jan
Production	320	322	320	319	319	321	322
Supply	353	368	366	381	396	353	365
Utilization	302	318	319	301	314	310	321
Trade	126	129	132	126	130	127	129
Stocks	46	49	47	77	83	43	44

FAO-AMIS monthly forecasts

For latest revisions to FAO-AMIS monthly forecasts for 2015/16 see next page.

To review and compare data, by country and commodity, across the three main sources, go to <http://statistics.amis-outlook.org/data/index.html#COMPARE>

Estimates and forecasts may differ across sources for many reasons, including different methodologies. All changes, in absolute or percentage terms, reported in the supply/demand commentaries are calculated based on unrounded figures. For more information see the last page of this report.

Summary of revisions to FAO-AMIS monthly forecasts for 2015/16

	WHEAT					MAIZE				
	Production	Imports	Utilization	Exports	Stocks	Production	Imports	Utilization	Exports	Stocks
WORLD	2334	1977	563	2029	3763	2643	473	-810	501	-5705
Total AMIS	2759	1550	-36	2329	4689	-329	700	-1225	-450	-7369
Argentina	400	-	-	500	1400	-	-	-	-	-
Australia	-302	-	-302	-	-	-	-	-	-	-
Brazil	-822	200	-22	-500	-100	-76	-	-576	2500	-2500
Canada	1533	-	-34	1200	-300	1355	-	357	-	1000
China Mainl.	287	450	-	-	1087	3580	-	1000	-	2822
Egypt	-	400	50	-	350	-	-	-	-	-
EU	-500	-	-	-	-	-2000	-	-1500	-	-10000
India	-	-50	-50	100	-	-500	-	-	-500	-
Indonesia	-	50	-	-	50	-	-	-150	50	100
Japan	-	-	-	-	-	-	-	-	-	-
Kazakhstan	-110	-	-	-	-110	-	-	-	-	-
Mexico	-	-	100	-100	-	-	-	-	-	-
Nigeria	-	-	-	-	-	-	-	-	-	-
Philippines	-	300	300	-	-	-3	-50	-3	-	-50
Rep. of Korea	-	-	-	-	-	-	-	-	-	-
Russian Fed.	1989	-100	1120	800	1319	-315	-	-315	-	-
Saudi Arabia	-	-	-	-	-	-	-	-	-	-
South Africa	-189	-	11	-	-100	-	300	-	-	400
Thailand	-	300	-	-	300	-100	-100	-400	-	200
Turkey	-	-	-	-	-	-	-50	-	-	-
Ukraine	-27	-	-300	300	-27	-922	-	-500	-	-422
US	-	-100	-980	-	820	-1329	100	381	-2500	1081
Viet Nam	-	100	71	29	-	-19	500	481	-	-

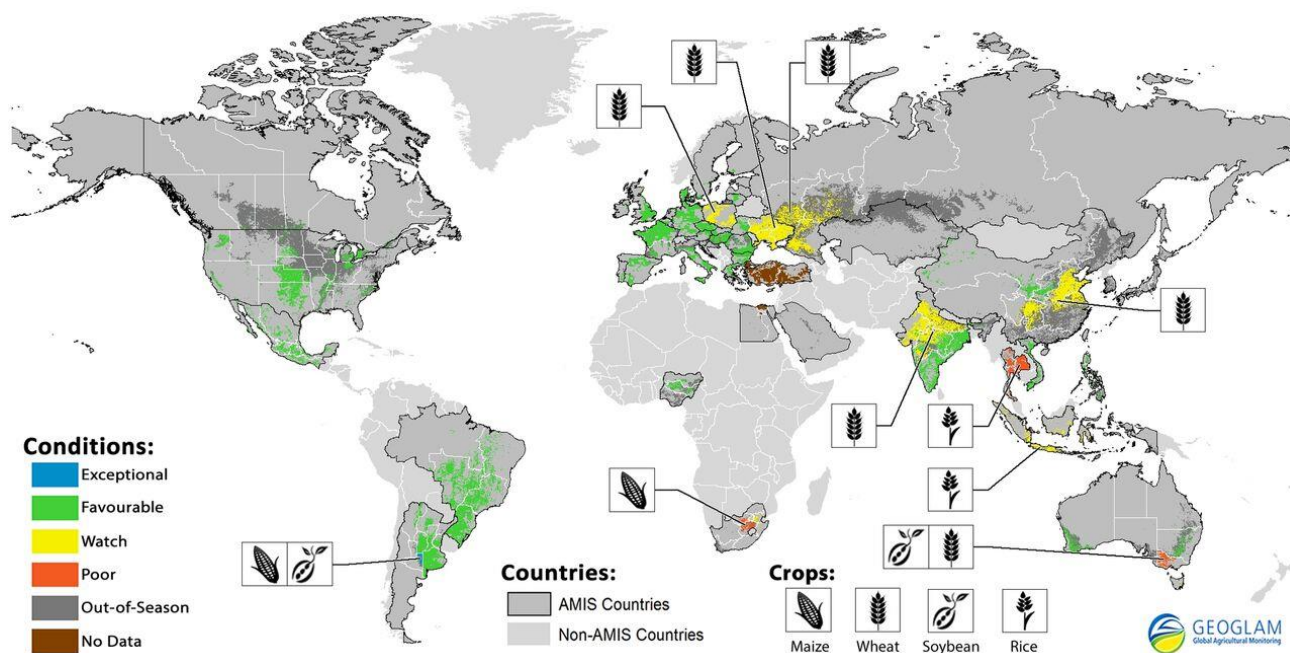
	RICE					SOYBEANS				
	Production	Imports	Utilization	Exports	Stocks	Production	Imports	Utilization	Exports	Stocks
WORLD	423	396	-875	399	953	-1964	2707	1604	2678	-2115
Total AMIS	328	405	-171	130	-127	-2070	1459	903	2600	-2180
Argentina	-	-	-30	30	-	500	-	600	1200	-900
Australia	-	10	-	-50	10	-	-	-	-	-
Brazil	-	170	30	-50	-52	-1200	-	-1016	1500	-100
Canada	-	-10	-	-	-	307	-	107	300	-100
China Mainl.	510	200	676	-	460	-	1000	1200	-	-
Egypt	-	-	-	-10	-	-	-	-	-	-
EU	16	-	-39	-	150	-50	669	202	-	-
India	-	-	-170	-200	-	-100	-	-	-	-500
Indonesia	-	300	200	-	-	-217	40	-162	-	-
Japan	-375	-	-185	-	-190	-	10	-	-	-
Kazakhstan	-	-	-	-	-	-	-	-	-	-
Mexico	-	-	-	-	-	-	50	-	-	-
Nigeria	90	-100	-70	-	-50	-	-	-	-	-
Philippines	-	-150	-50	-	-50	-	-	-	-	-
Rep. of Korea	-	-	-	-	-	-10	60	-	-	-
Russian Fed.	-41	-20	-	-15	-15	109	200	-	-	100
Saudi Arabia	-	-	-	-	-	-	-	-	-	-
South Africa	-	-	-	-	-	-	20	-	-	-
Thailand	-	-	-200	-	-	-	-90	-	-	-
Turkey	-	-	-	-	-	-	-550	-	-	-
Ukraine	-	-	-	-	-	-	-	-	-	-
US	50	-45	-190	75	65	-1388	-	-28	-400	-680
Viet Nam	77	50	-145	350	-450	-21	50	-	-	-



Numbers shown refer to changes in forecasts (in thousand tonnes) since the previous report.

Crop monitor

Conditions at a glance for AMIS countries (as of January 28th)



Crop condition map synthesizing information for all four AMIS crops as of January 28th. Crop conditions over the main growing areas for wheat, maize, rice, and soybean are based on a combination of national and regional crop analyst inputs along with earth observation data. **Crops that are in other than favourable conditions are displayed on the map with their crop symbol.**

WHEAT: Conditions in the southern hemisphere remain mixed as the season draws to a close. However, in the northern hemisphere conditions are overall favourable for the dormant crop with the exception of India.

MAIZE: The northern hemisphere is largely out of season with the exception of India and Mexico while the season in the southern hemisphere is in full swing with largely favourable conditions.

El Niño update

The El Niño of 2015-2016 peaked in late November-early December, but remains strong and will only decline to neutral around June. The growing season in South Africa has been characterized by severe drought, with many crop growing areas having their driest early season since 1981. As a consequence, maize production is projected to be down by 35 percent compared to average, and imports to the region will be required to meet needs both nationally and in neighbouring countries that are likewise drought stricken. Drought is expected to continue in Southeast Asia and across northern South America, including northeast Brazil. The southeast of Brazil and Uruguay, on the other hand, should continue to have abundant rainfall. In the US, the western and southern states are expected to continue to experience above average precipitation. This is benefiting California, though one good season will be insufficient to reverse the

RICE: Conditions remain mixed in part due to the impacts of the current El Niño.

SOYBEANS: Conditions in the southern hemisphere are generally favourable. The northern hemisphere is currently out of season.

impacts of the multi-year 2012-2015 drought. The Great Lakes region, conversely, is projected to continue to experience drier than normal conditions, as are the southern parts of the Canadian Prairie Provinces. No impacts are anticipated across Europe and western Russian Federation.

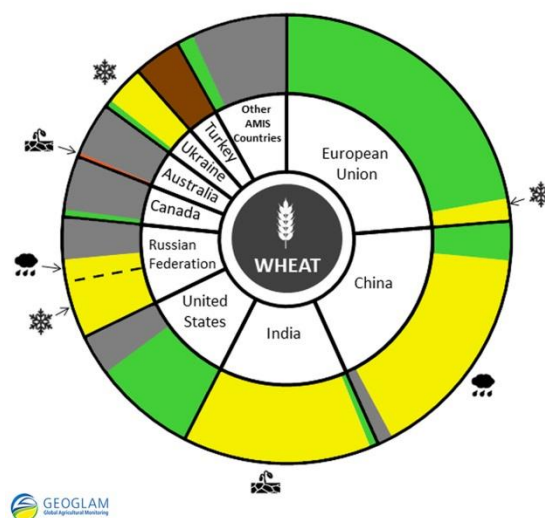
For information on non-AMIS countries see the Early Warning Crop Monitor first issue to be published by GEOGLAM on Friday, February 5th, 2016. The report can be access at:

<http://cropmonitor.org/pages/currentreport.php>

Wheat

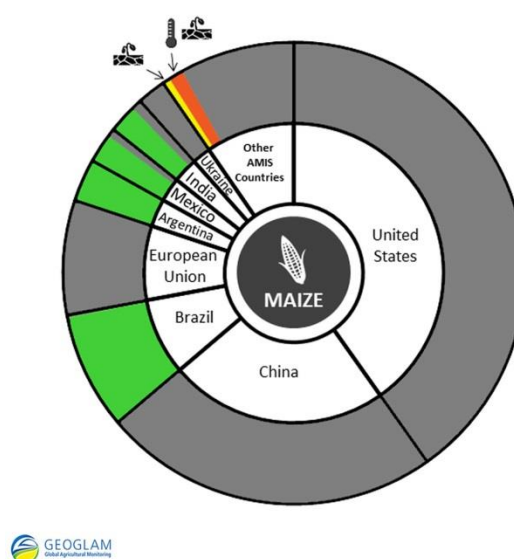
In **Australia**, harvest is almost complete with unfavourable end of season conditions. In **Argentina**, harvest is complete with variable end-of-season conditions. In the **EU**, the extremely mild weather of last December delayed the hardening of winter crops and intense cold temperatures in January combined with shallow snow cover caused some frost damage in eastern Europe. In the **US**, the crop is dormant and progressing without major concern. In **China**, conditions are variable for the wintering crop. Crop conditions in the northern part of China are in favourable condition but unfavourable conditions exist in the eastern and southern regions caused by continuously rainy weather and lack of sufficient sunlight. In the **Russian Federation**, warm temperatures followed by colder and drier than usual weather is causing some concern. In **Canada**, conditions remain favourable, however there is an increased risk of winterkill due to low snow cover in the southern prairies, especially in Alberta and Saskatchewan. However, the absence of prolonged or rapid cooling in these areas suggests that any damage to date likely minimal. In **India**, conditions are mixed due to dryness affecting the main producing region. The crop is in vegetative stages. In **Ukraine**, there is concern as conditions prior to winter dormancy were worse than

average due to severe autumn dryness, which caused planted area to be down. Winter damage will be assessed in the spring.



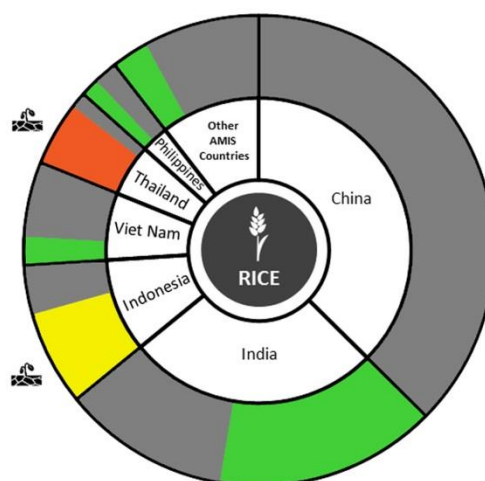
Maize

In **Brazil**, planting begun for the summer-planted crop (the larger producing season) and conditions are favourable during this early stage. The spring-planted crop is largely in the reproductive stage and conditions are favourable for crop development. In **Argentina**, conditions are favourable owing to mostly good weather. The crop is mostly in the vegetative to reproductive stages. In **South Africa**, hot and dry conditions during November and December across the western half of the production region resulted in poor conditions. Wet conditions since early January will have a positive impact although area planted is down. In **India**, harvest has begun and conditions are favourable. In **Mexico**, conditions are favourable for the spring-planted crop that is in vegetative to harvest stages. Planting has begun for the autumn-planted crop and conditions are favourable.



Rice

In **India**, conditions are favourable for both the kharif crop currently being harvested and for the newly planted rabi crop. In **Brazil**, conditions are favourable although some planting delays have occurred due to excess rainfall. In **Thailand**, harvest is almost complete for the wet season crop and conditions remain poor. Planting begun for the dry season crop and conditions are also poor due to a water shortage attributed to El Niño. In **Viet Nam**, harvest is ongoing for both the summer-autumn and autumn-winter crops and end of season conditions are favourable. In **Indonesia**, planting on crop and area is drastically lower than previous years due to dryness and a delayed monsoon caused by El Niño. In the **Philippines**, the dry season crop conditions are favourable but developing dry conditions are expected to impact the crop next month due to El Niño. In **Argentina**, conditions are generally favourable and most areas are starting the flowering stage.



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Conditions:

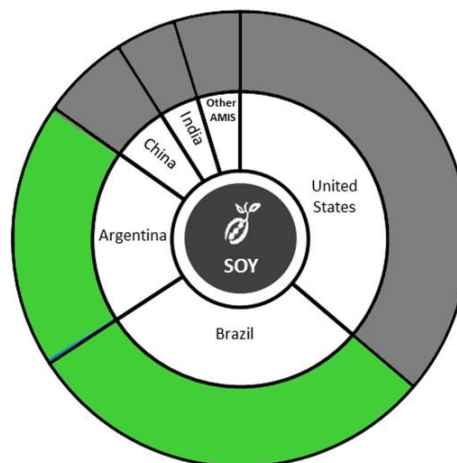


Drivers:



Soybeans

In **Brazil**, the crop is largely in the reproductive stage and is in generally favourable condition. Some planting delays occurred throughout the country due to below-average rainfall during previous months but overall conditions are currently favourable for development. In **Argentina**, planting is almost complete and conditions are generally favourable for both the spring and summer planted crops.



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Pie chart description

Each slice represents a country's share of total AMIS production (5-year average), with the main producing countries (90 percent of production) shown individually and the remaining 10 percent grouped into the "Other AMIS Countries" category. Sections within each country are weighted by the sub-national production statistics (5-year average) of the respective country and accounts for multiple cropping seasons (i.e. spring and winter wheat).

Sources and Disclaimers: The Crop Monitor assessment is conducted by GEOGLAM with inputs from the following partners (in alphabetical order): Argentina (Buenos Aires Grains Exchange, INTA), Asia Rice Countries (AFSIS, ASEAN+3 & Asia RiCE), Australia (ABARES & CSIRO), Brazil (CONAB & INPE), Canada (AAFC), China (CAS), EU (EC JRC MARS), Indonesia (LAPAN & MOA), International (CIMMYT, FAO, IFPRI & IRRI), Japan (JAXA), Mexico (SIAP), Russian Federation (IKI), South Africa (ARC & GeoTerraImage & SANSA), Thailand (GISTDA & OAE), Ukraine (NASU-NSAU & UHMC), USA (NASA, UMD, USGS – FEWS NET, USDA (FAS, NASS)), Viet Nam (VAST & VIMHE-MARD). The findings and conclusions in this joint multi-agency report are consensual statements from the GEOGLAM experts, and do not necessarily reflect those of the individual agencies represented by these experts.

More detailed information on the GEOGLAM crop assessments is available at <http://www.geoglam-crop-monitor.org/>

Policy developments

Wheat

- From 1 January 2016 a permit is required for genetically modified wheat field trials in the **US**. This follows the discovery of unauthorised genetically modified wheat cultivated in the United States in 2013 and 2014.

Maize

- **India** issued import licenses for a volume of 500,000 tonnes of maize free of duty. The imports had not taken place at the time of this report.
- **Indonesia** issued import permits for 2.4 million tonnes for 2016, down by 0.6 million tonnes from 2015 levels.

Rice

- In **Indonesia**, the domestic rice procurement target was set at 3.9 million tonnes, a 1.2 million tonnes increase from previous year. Negotiations are on-going to diversify import origins to include India, Myanmar, Pakistan further to Thailand and Vietnam. A memorandum of understanding was signed on 10 December 2015 to import 1 million tonne of white rice from Pakistan through diplomatic channels between 2016 and 2019.
- The government of **the Philippines** have reported plans to import 800,000 tonnes of rice in the first half of 2016.
- In **Thailand**, efforts to clear stockpiled rice continue. More than 2 million tonnes of rice are to be sold through diplomatic channels in 2016, and sales of rice to the industrial sector will resume in late January or early February. The rice export target for 2016 has been set to 9 million tonnes by National Rice Policy Committee, this target was of 10 million tonnes in 2015. A bilateral agreement is sought for Thailand to export rice to China. Reports indicate that this could result in a monthly export volume of 100,000 tonnes starting in Jan 2016. Water supplies for rice cultivation will be restricted until July in Thailand.
- The government purchase price of rice in **Turkey** in 2015/16 was set at TRY 1,580 (USD 526) per tonne. A purchase price had not been announced for the two previous periods.

Soybeans

- **Argentina** announced that the export duty on soybeans was reduced from 35 percent to 30 percent and taxes on soy meal and soy oil exports reduced from 32 percent to

27 percent. A simplified import procedure will apply to soybeans imported for processing before exports whereby the obligation to register imports is removed.

Biofuels

- Effective on 12 February 2016 renewable fuel percentage standards for 2014, 2015, and 2016 and biomass-based diesel volume for 2017, were published in the **US**. The total renewable fuel volume was increased by over 11 percent over the 2014-2016 period from approximately 16 billion gallons (63.3 billion litres) in 2014 to 18.11 billion gallons (68.12 billion litres) in 2016. While the final volumes are above those proposed in June 2015, they fall short of the targets set by the US Congress in 2007. The US Congress passed the extension of the USD 1 per gallon (USD 0.26 per litre) tax credit for biodiesel blenders which had expired at the end of 2014. The tax credit applies retroactively to 1 January 2015 and will remain in place until 31 December 2016.

Across the board

- **Argentina** released export quotas and removed taxes on wheat and maize exports, respectively of 23 and 20 percent on 14 December 2015. Besides the changes in the soybeans export regime reported above, export taxes on all other crops were removed.
- **India** approved a new insurance scheme that would cover crop damage. Farmer insurance premium payments will be subsidised. Both the rate of subsidization and the extent of damage coverage have been increased compared to previous schemes.
- On 19 December 2015, **WTO** members concluded the Tenth Ministerial Conference in Nairobi by securing a package of decisions that will improve the global trading environment and level the playing field in agricultural markets. Notably, the Nairobi Package includes a commitment to abolish export subsidies for all agricultural exports, addressing similar distorting effects caused by subsidized export credits and exporting state trading enterprises, and providing a better framework for international food aid while limiting commercial displacement.

International prices

International Grains Council (IGC) Grains and Oilseeds Index (GOI) and GOI sub-Indices

	Jan 2016 Average*	% Change	
		M/M	Y/Y
GOI	180	- 1.8%	- 16.9%
Wheat	165	-2.2%	- 23.0%
Maize	172	- 2.5%	- 9.7%
Rice	150	- 0.8%	- 11.2%
Soybeans	175	- 1.2%	- 16.5%

*Jan 2000=100, derived from daily export quotations

Wheat

A mostly bearish tone persisted in world export markets, with sustained pressure from heavy supplies and strong competition for any export business. There was occasional mild underpinning from worries about the next crops in some regions, but prospects for global 2016/17 output are mostly considered favourable. Currency movements continued to have a marked impact on the relative competitiveness of exporters. With the harvest complete, Argentina's export prospects have been aided by the removal of export taxes and the floatation of the peso. Egypt's General Authority for Supply Commodities (GASC) recently secured milling wheat from Argentina for the first time in around three years and there were reports of accelerating shipments of low/medium grade wheat to Asian feed manufacturers. In late January, markets responded to rumours that Russia was considering adjustments to wheat export taxes, but no changes were announced.

Maize

The average of the IGC GOI maize sub-Index fell amid large spot availabilities and subdued international demand, with prices at their lowest since June 2010 at times. While South African markets rallied sharply on deepening concerns about drought, gains failed to spill over into the wider world market. Losses in Argentina were especially pronounced, as farmer selling accelerated in reaction to the currency depreciation and announced changes to grain export taxes and licencing. Average US prices were down slightly m/m,

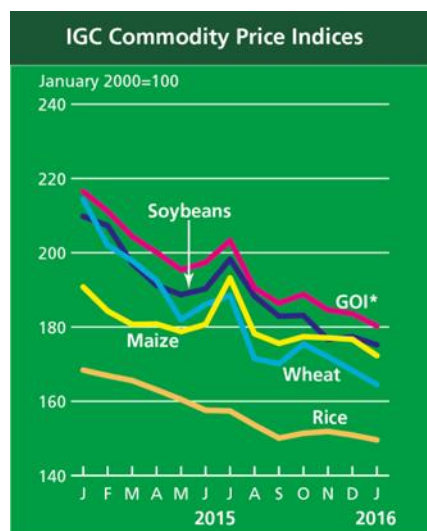
with concerns about slow export demand mostly offsetting support from flood-related river transport difficulties. Black Sea quotations dropped on increasing global competition, mainly from South America, but also from rising trade in feed wheat.

Rice

Asian markets were modestly weaker in January. Harvest pressure weighed on export values in India and Thailand, while efforts by traders in Viet Nam to sell inventories ahead of the forthcoming main (winter-spring) crop added to bearish sentiment. However, declines were capped by signs of fresh demand from key importers, including Indonesia and the Philippines, while, more recently, worries about second (off-season) crop prospects and currency movements provided some underpinning to FOB quotations in Thailand.

Soybeans

Global export prices fell by around one percent over the past month as improving weather eased worries about prospects for 2015/16 production and availabilities in South America, despite the likelihood of harvest delays in Brazil. Heightened concerns about the outlook for the world economy and associated losses in external markets, including crude oil and equities, also pressured, outweighing light support from international demand, including for US old crop supplies, and currency movements. Ongoing flood-related logistical problems in the Midwest remained mildly supportive towards the end of the month.



*GOI: Grains and Oilseeds Index

IGC commodity price indices						
		GOI*	Wheat	Maize	Rice	Soybeans
(..... January 2000 = 100)						
2015	January	216.5	214.4	190.8	168.4	209.8
	February	211.2	202.0	184.3	166.9	207.3
	March	204.4	197.9	180.7	165.6	197.1
	April	200.1	192.6	180.8	163.1	191.2
	May	195.4	182.0	178.8	160.5	188.7
	June	197.4	186.1	180.7	157.6	190.3
	July	203.3	188.5	193.2	157.4	198.3
	August	190.5	171.5	178.2	153.6	188.3
	September	186.4	170.1	175.6	150.1	182.9
	October	188.8	175.4	177.4	151.4	183.1
	November	184.6	172.0	177.1	151.9	176.7
	December	183.6	168.3	176.7	150.9	177.4
2016	January	180.3	164.5	172.3	149.6	175.2

Selected export prices and price indices

Daily quotations of selected export prices (USD/tonne, 2014-2016)

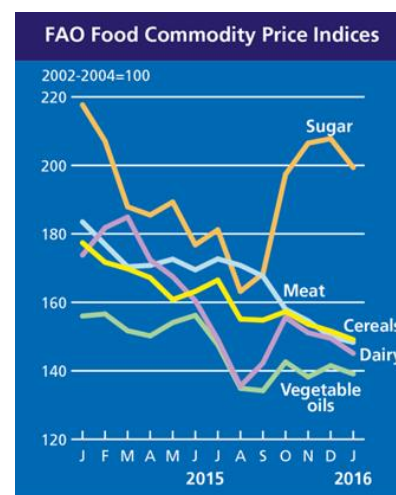
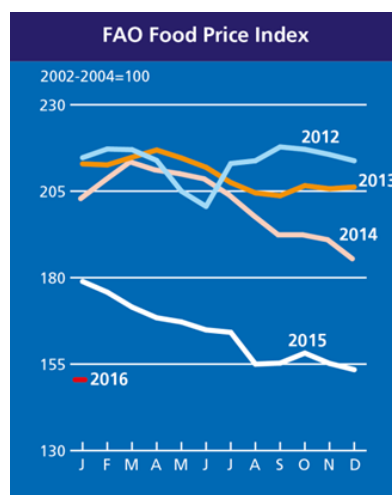


Daily quotations of selected export prices

	Effective Date	Quotation (1)	Week ago (2)	Month ago (3)	Year ago (4)	% change (1) over (2)	% change (1) over (4)
(..... USD/tonne)							
Wheat (US No. 2, HRW)	01-Feb	212	214	212	245	-1.2%	-13.7%
Maize (US No. 2, Yellow)	01-Feb	165	165	158	168	0.0%	-2.1%
Rice (Thai 100% B)	02-Feb	382	372	358	417	2.7%	-8.4%
Soybeans (US No. 2, Yellow)	01-Feb	353	356	350	388	-0.9%	-9.1%

The **FAO Food Price Index** averaged 150.4 points in January 2016, down almost 3 points (1.9 percent) from December and as much as 29 points (16 percent) below January 2015. The prices of all the commodities tracked by the Index fell, with sugar and dairy products registering the steepest declines.

www.fao.org/worldfoodsituation/foodpricesindex



FAO food price indices

		Food Price Index	Meat	Dairy	Cereals	Oils and Fats	Sugar
(..... 2002-2004 = 100)							
2015	January	178.9	183.5	173.8	177.4	156.0	217.7
	February	175.8	176.9	181.8	171.7	156.6	207.1
	March	171.5	170.4	184.9	169.8	151.7	187.9
	April	168.4	170.8	172.4	167.2	150.2	185.5
	May	167.2	172.6	167.5	160.8	154.1	189.3
	June	164.9	169.5	160.5	163.2	156.2	176.8
	July	164.2	172.7	149.1	166.5	147.6	181.2
	August	155.0	170.8	135.5	155.1	134.9	163.2
	September	155.3	167.6	142.3	154.8	134.2	168.4
	October	158.2	158.0	155.6	157.3	142.6	197.4
	November	155.2	154.6	151.1	153.6	138.2	206.5
	December	153.4	150.0	149.5	151.6	141.5	207.8
2016	January	150.4	148.3	145.1	149.1	139.1	199.4

Futures markets

Futures Prices – nearby

	Jan 2016 Average	% Change	
		M/M	Y/Y
Wheat	174	-0.3%	-12.2%
Maize	142	-2.0%	-6.8%
Rice	264	-3.5%	+7.4%
Soybeans	323	0.0%	-12.1%

Source: CME – USD per tonne

Futures prices

Prices for wheat and soybeans were mostly unchanged m/m while prices for maize and rice declined about 3 percent. Lagging US export inspections for wheat, maize and soybeans (down y/y by 12 percent) and continued USD strength against currencies of other major exporters weighed on futures prices. A pervasive bearish sentiment within the commodity sector also helped the market to shrug off several supply issues such as soybean harvest delays in Brazil, lower wheat sowings in India and reduced maize prospects in South Africa. In the wheat market, prices for soft red wheat (SRW – CBOT) which had exhibited an uncharacteristic USD 11 per tonne premium to hard red wheat (HRW – KCBOT) realigned to par. Prices for all four commodities were lower y/y.

Volumes and volatility

Volumes for maize were unchanged and lower for wheat and soybeans by 17 and 43 percent m/m. Volumes for all three commodities were lower by about 20 percent y/y. Implied Volatility for wheat, maize and soybeans exhibited moderate to low levels of volatility at 24, 20 and 16 respectively, while historical volatility reflected closely similar values.

Basis levels

Basis levels for wheat, maize and soybeans continued to strengthen, particularly east of the Mississippi River, where supply levels were lower than last year. Wheat basis levels were quoted at USD 8 per tonne premium to March futures into northeastern mills, driven by quality concerns. In the eastern state of Illinois, basis levels for both maize and soybeans were reported between USD 1 and 8 per tonne premium to respective March futures. Basis levels were quoted at discounts to futures for maize and soybeans in the western state of Iowa, where the Mississippi River experienced flooding and restricted traffic. According to the US Department of Transportation, Illinois barge freight averaged USD 13 per tonne, 40 percent lower than the 3 year average. Transport rates in truck and rail also saw decreases due to cheap diesel fuel. Low transport rates are helping to boost interior values.

Historical Volatility – 30 Days, nearby

	Monthly Averages		
	Jan 2016	Dec 2015	Jan 2015
Wheat	22.4%	24.8%	30.6%
Maize	19.1%	19.2%	24.2%
Rice	26.6%	25.6%	21.1%
Soybeans	14.7%	14.0%	22.3%

Forward curves

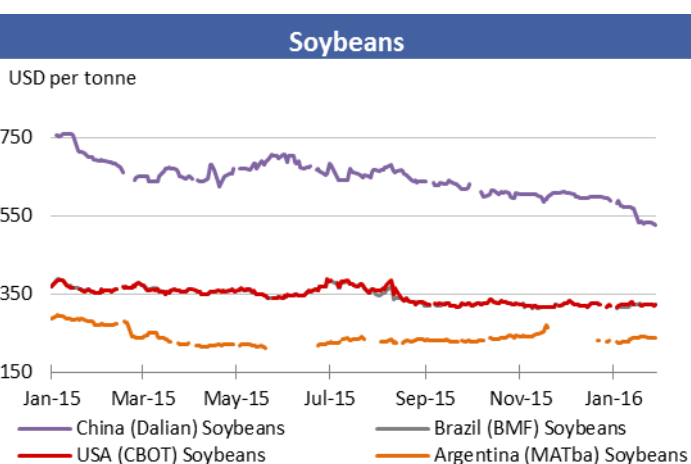
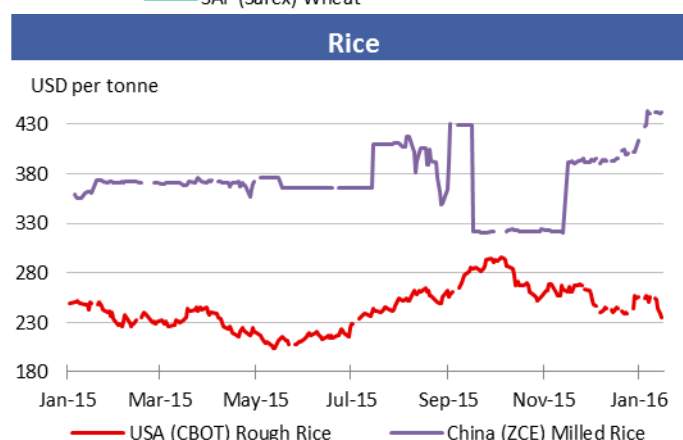
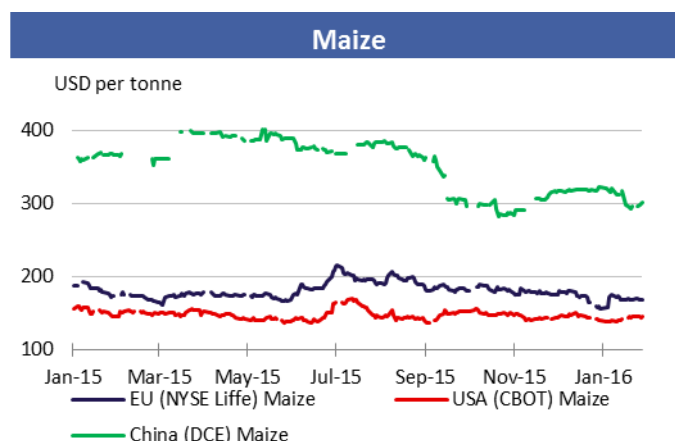
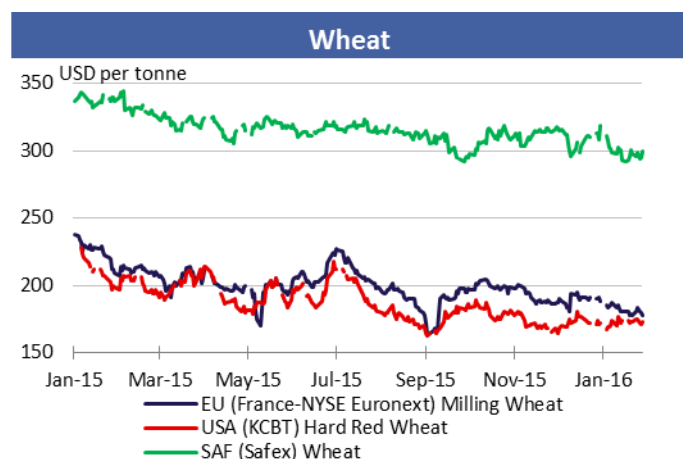
Forward curves for wheat, maize and soybeans narrowed gradually in response to high basis levels and tight producer holding. In soybeans, the January 2016 contract expired at USD 8 premium to March, reflecting its convergence to high cash prices. Otherwise forward curves displayed upward sloping configurations for all three commodities, reflecting ample global supplies.

Investment flows

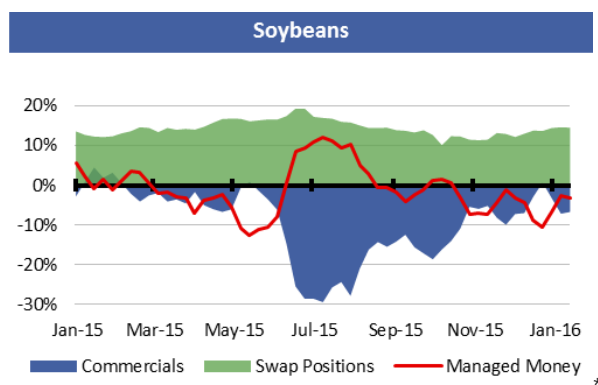
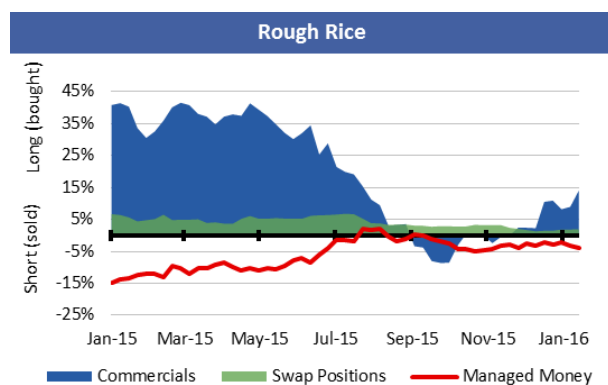
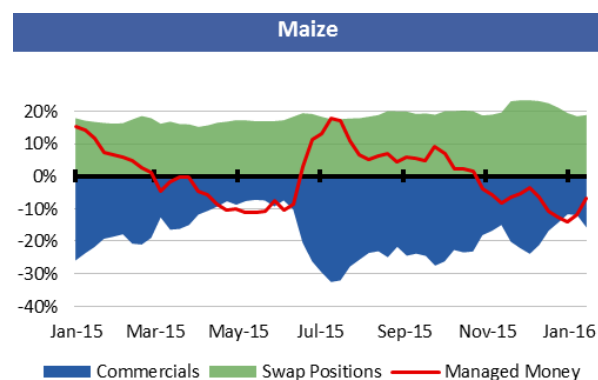
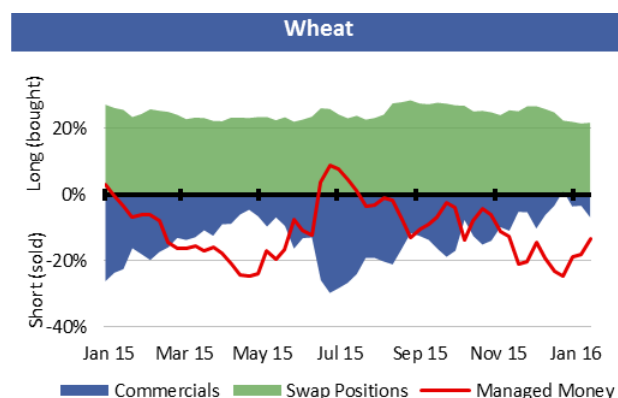
Managed money, after establishing near record net short positions in maize, wheat, and soybeans in mid-January (313 thousand contracts or approximately 41 million tonnes), reversed course to become a net buyer, halving its short positions to 165 thousand contracts. A combination of commercials, swaps dealers and other reportables/non-reportables were net sellers against managed money's net purchases. The reversal strategy by managed money corresponded closely with the mid-January turnaround in crude oil, which traded briefly below USD 28 per barrel.

Market indicators

Daily quotations from leading exchanges - nearby futures

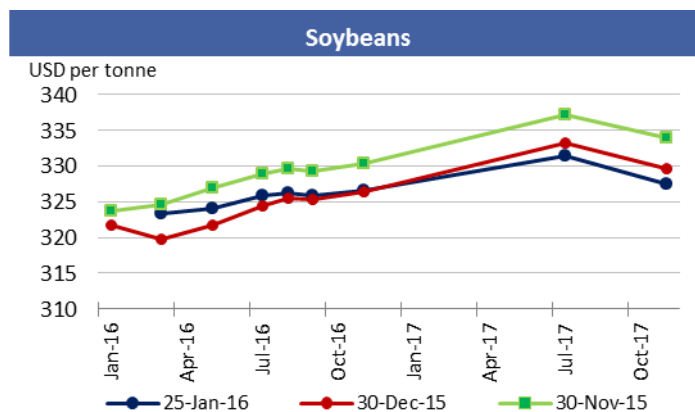
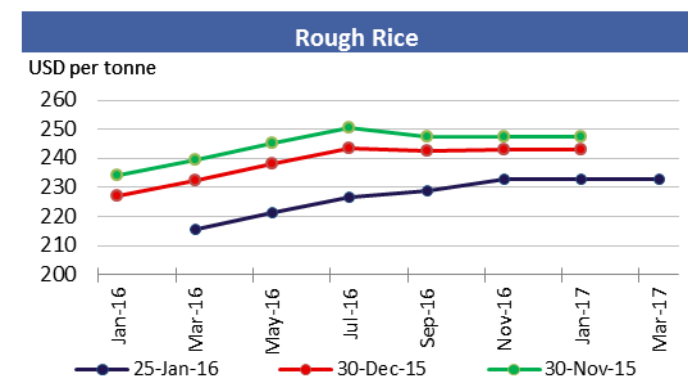
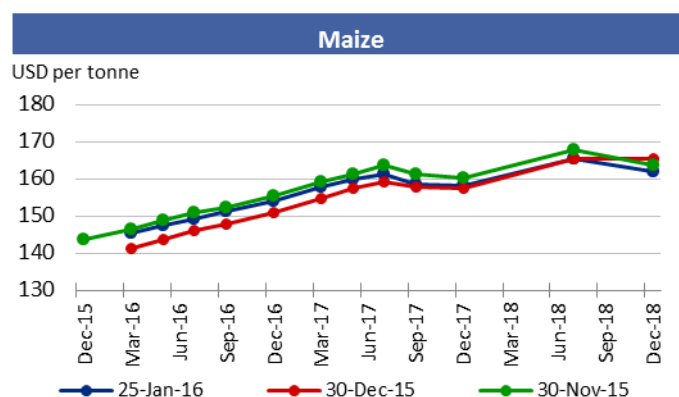
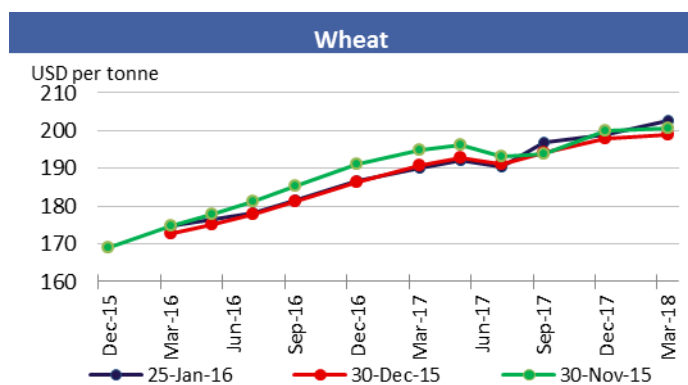


CFTC Commitments of Traders - Major Categories Net Length as percentage of Open Interest*

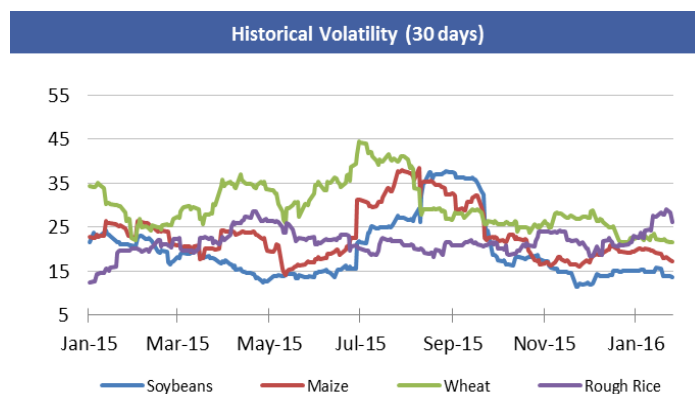
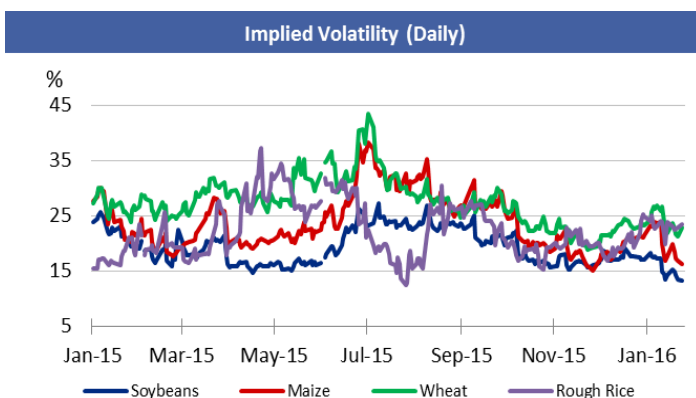


*Disaggregated Futures Only. Though not all positions are reflected in the charts, total long positions always equal total short positions.

Forward Curves



Historical and Implied Volatilities



i **AMIS Market indicators**

Some of the indicators covered in this report are updated regularly on the AMIS website. These, as well as other market indicators, can be found at:

<http://www.amis-outlook.org/amis-monitoring/indicators/>

For more information on technical terms please view the Glossary at the following link:

http://www.amis-outlook.org/fileadmin/user_upload/amis/docs/Market_monitor/Glossary.pdf

Monthly US ethanol update

- **Ethanol margins** remain negative and fell further in January.
- Lower average monthly **maize prices** were more than offset by falling ethanol prices.
- **Ethanol prices** have been under pressure from falling oil prices and remain at a strong premium to gasoline prices while historically ethanol usually trades at a discount.
- Ethanol normally trades at a discount to gasoline.
- Despite falling margins, January **ethanol production** is down modestly from December but is up from January of last year.

Spot prices	Jan 2016*	Dec 2015	Jan 2015
IA, NE and IL/eastern corn belt average			
Maize price (USD per tonne)	137.79	141.80	148.89
DDGs (USD per tonne)	129.9	128.57	178.45
Ethanol price (USD per gallon)	1.28	1.37	1.39

Nearby futures prices	Jan 2016*	Dec 2015	Jan 2015
CME, NYSE			
Ethanol (USD per gallon)	1.36	1.45	1.43
RBOB Gasoline (USD per gallon)	1.12	1.28	1.36
Ethanol/RBOB price ratio	121.9%	113.3%	105.3%

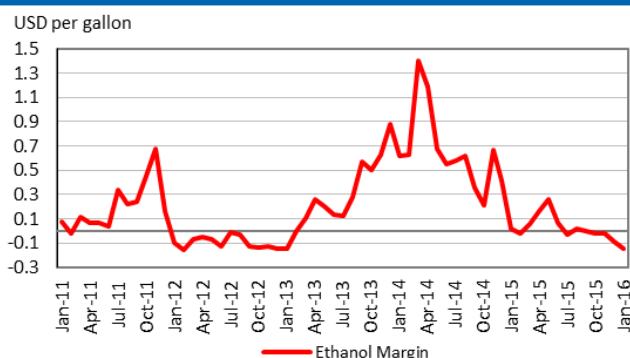
Ethanol margins	Jan 2016*	Dec 2015	Jan 2015
IA, NE and IL/eastern corn belt average, USD per gallon)			
Ethanol receipts	1.28	1.37	1.39
DDGs receipts	0.40	0.40	0.55
Maize costs	1.27	1.31	1.38
Other costs	0.55	0.55	0.55
Production margin	-0.15	-0.09	0.01

Ethanol production	Jan 2016*	Dec 2015	Jan 2015
(million gallons)			
Monthly production total	1,292	1,302	1,250
Annualized production pace	15,215	15,330	14,714

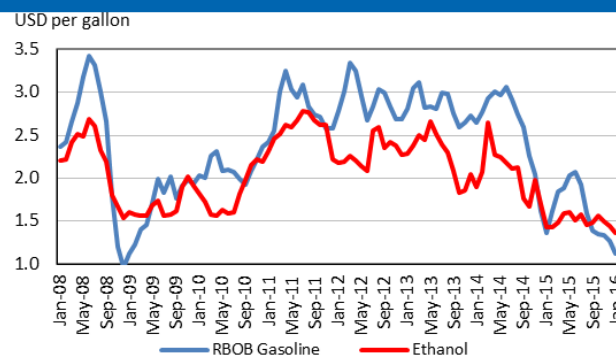
Based on USDA data and private sources

* Estimated using available weekly data to date.

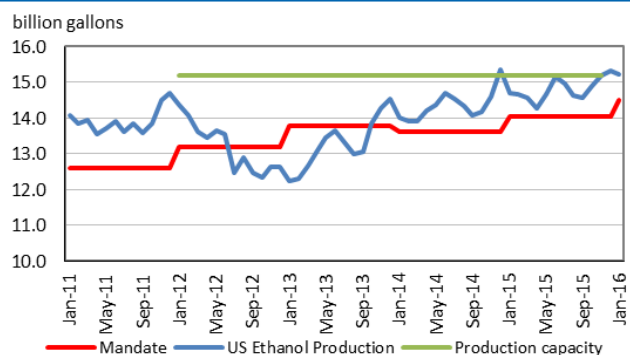
Ethanol Production Margin
(IA, NE, IL/eastern corn belt average)



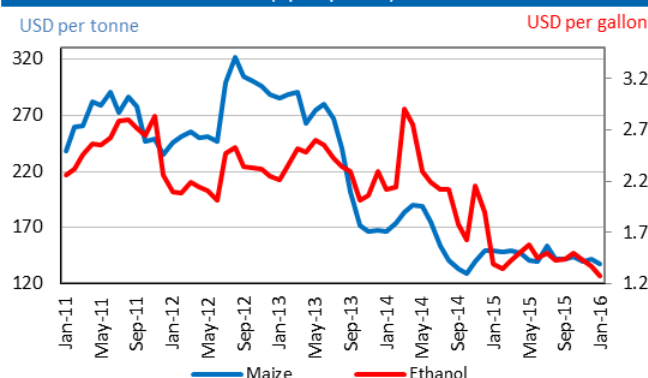
Ethanol and RBOB gasoline
(nearby futures prices, CME, NYSE)



Ethanol production pace, capacity and annual mandate



Ethanol price vs. maize price
(Spot prices)



i Chart and tables description

Ethanol Production Margins: The ethanol margin gives an indication of the profitability of maize-based ethanol production in the United States. It uses current market prices for maize, Dried Distillers Grains (DDGs) and ethanol, with an additional USD 0.55 per gallon of production costs

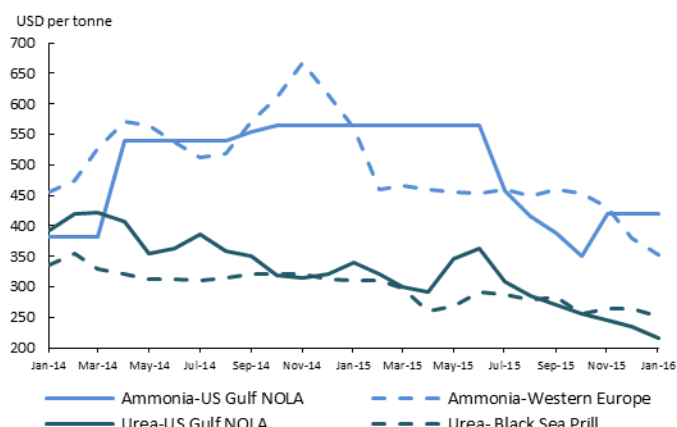
Ethanol Production Pace, Capacity and Mandate: Overview of the volume of maize-based ethanol production in the United States; it also highlights overall production capacity and the production volume that is mandated by public legislation. Name-plate (i.e. nominal) ethanol production capacity in the US is roughly 14.9 billion gallons per annum, but plants can exceed this level, so the actual capacity is assumed to be 15.2 billion gallons.

DDGs: By-product of maize-based biofuel production, commonly used as feedstuff.

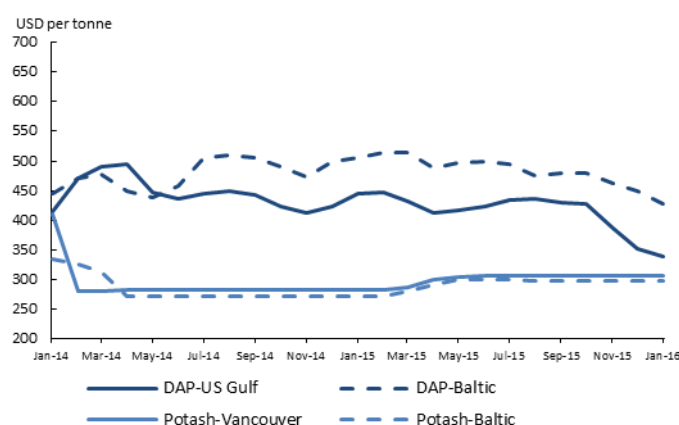
RBOB: Reformulated Blendstock for Oxygenate Blending, gasoline nearby futures (NYSE).

Fertilizer outlook

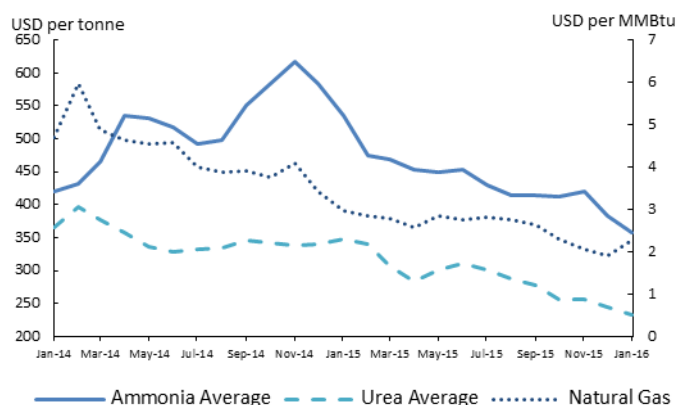
**Ammonia and Urea
(Spot prices)**



**Potash and Phosphate
(Spot prices)**



**Ammonia Average, Urea Average and Natural Gas
(Spot prices)**



- **Ammonia** prices in the US Gulf have remained stable since November of last year, in contrast to Western Europe prices that have continued to decrease. Capacity is expected to increase given the opening of plants in US, Saudi Arabia, Indonesia, Nigeria and Russia.
- In both the US Gulf and the Black Sea, **urea** month-to-month prices continued decreasing to reach their lowest level of the last 12 months. Oversupply has been an important component of this downward trend in prices. Although urea producers have benefited from declines in gas and coal prices, their margins have remained low.
- **DAP prices** also reached their lowest level in the last 12 months. In particular, US Gulf prices have been decreasing since October, widening the price gap between US and Baltic quotations.
- **Potash prices** showed no change. However, Canadian and American companies saw negative returns in 2015 underscoring continued weakness in demand.
- Average prices of **urea** and **ammonia** decreased around 33 percent compared to January 2015, and experienced high month-to-month fluctuations (volatility) this month, primarily led by fluctuations in European prices.
- **Natural gas** prices incremented 19 percent thanks to consumption growth mainly from industrial sectors.

Region	January* average	January std. dev	% change last month	% change last year	12-month high	12-month low
Ammonia-US Gulf NOLA	420	0	0%	-26%	565	350
Ammonia-Western Europe	351.7	14.4	-7.5%	-37.2%	560	352
Urea-US Gulf	216	10.6	-7.7%	-36.5%	363.6	216.0
Urea-Black Sea	251.0	22.5	-4.9%	-19.0%	310	251
DAP-US Gulf	338	8.2	-3.9%	-23.8%	447	338
DAP-Baltic	428.3	7.6	-4.8%	-15%	515	428.3
Potash-Baltic	298	0	0.0%	9.6%	300	272
Potash-Vancouver	305	0	0.0%	8.2%	305	282
Ammonia Average	358.3	20	-6.5%	-33.1%	535.6	358.3
Urea Average	233.1	12	-4.5%	-32.9%	3	233.1
Natural Gas	2.3	0.1	-4.1%	-32.2%	4.1	2.6

i Chart and tables description: * Estimated using available weekly data to date.

Ammonia and Urea: Overview of nitrogen-based fertilizer prices in the US Gulf, Western Europe and Black Sea. Prices are weekly prices averaged by month.

Potash and Phosphate: Overview of phosphate and potassium-based fertilizer prices in the US Gulf, Baltic and Vancouver. Prices are weekly prices averaged by month.

Ammonia Average and Urea Average: Monthly average prices from Ammonia's US Gulf NOLA, Middle East, Black Sea and Western Europe were averaged to obtain Ammonia Average prices; monthly average prices from Urea's US Gulf NOLA, US Gulf Prill, Middle East Prill, Black Sea Prill and Mediterranean were averaged to obtain Urea Average prices.

Natural Gas: Henry Hub Natural Gas Spot Price from ICE. Prices are intraday prices averaged by month. Natural gas is used as major input to produce nitrogen-based fertilizers.

DAP: Diammonium Phosphate.

Explanatory Notes

The notions of **tightening** and **easing** used in the summary table of **"World Supply and Demand"** reflect judgmental views which take into account market fundamentals, inter-alia price developments and short-term trends in demand and supply, especially changes in stocks.

All totals (aggregates) are computed from unrounded data. World supply and demand estimates/forecasts in this report are based on the latest data published by FAO, IGC and USDA; for the former, they also take into account information received from AMIS countries (hence the notion **"FAO-AMIS"**). World estimates and forecasts may vary due to several reasons. Apart from different release dates, the three main sources may apply different methodologies to construct the elements of the balances.

Specifically:

Production: For wheat, production data refer to the first year of the marketing season shown (e.g. the 2014 production is allocated to the 2014/15 marketing season). For maize and rice, FAO-AMIS production data refer to the season corresponding to the first year shown, as for wheat. However, in the case of rice, 2014 production also includes secondary crops gathered in 2015. By contrast, for rice and maize, USDA and IGC aggregate production of the northern hemisphere of the first year (e.g. 2014) with production of the southern hemisphere of the second year (2015 production) in the corresponding 2014/15 global marketing season. For soybeans, this latter method is used by all three sources.

Supply: Defined as production plus opening stocks. No major differences across sources.

Utilization: For wheat, maize and rice, utilization includes food, feed and other uses ("other uses" comprise seeds, industrial utilization and post-harvest losses). For soybeans, it comprises crush, food and other uses. No major differences across sources.

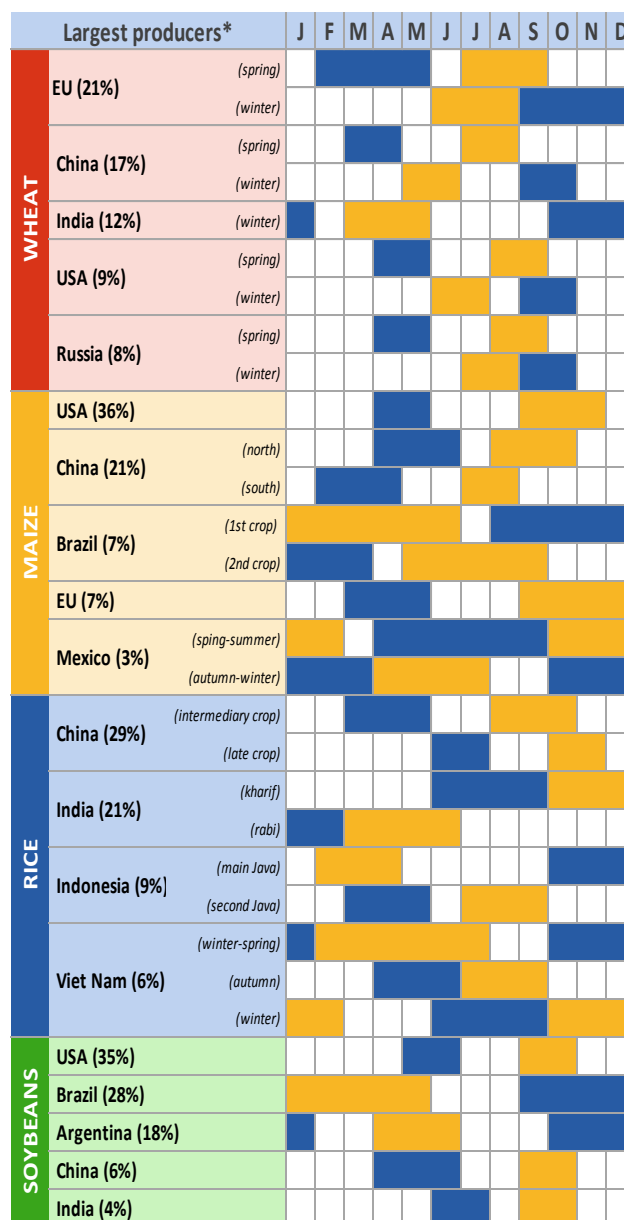
Trade: Data refer to exports. For wheat and maize, trade is reported on a July/June marketing year basis, except for the USDA maize trade estimates, which are reported on an October/September basis. For rice, trade covers flows from January to December of the second year shown, and for soybeans from October to September. Trade between European Union member states is excluded.

Stocks: In general, stocks refer to the sum of carry-overs at the close of each country's national marketing year. In the case of maize and rice, in southern hemisphere countries the definition of the national marketing year is not the same across the three sources as it depends on the methodology chosen to allocate production. For Soybeans, the USDA world stock level is based on an aggregate of stock levels as of 31 August for all countries, coinciding with the end of the US marketing season. By contrast, the IGC and FAO-AMIS measure of world stocks is the sum of carry-overs at the close of each country's national marketing year.

Main sources

Bloomberg, CFTC, CME Group, FAO, GEOGLAM, Inter-Continental Exchange, IGC, Reuters, USDA, US Federal Reserve, World Bank

AMIS Crop Calendar



* The percentages refer to the global share of production (average 2008-12).

■ Planting ■ Harvesting

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